

SAP Procurement SOP (Simplified)

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1. Purpose

- Define a standard, repeatable procure-to-pay (P2P) process for purchasing goods and services using SAP S/4HANA Cloud Public Edition – Sourcing and Procurement.[web:1]

2. Scope

- Applies to all indirect and direct purchasing handled through Purchase Requisitions (PR), Purchase Orders (PO), Goods Receipt (GR), and Invoice Verification (IV).

3. Roles and Responsibilities

- Requester: Creates and tracks purchase requisitions.
- Buyer (Purchasing): Converts approved PRs to POs, manages suppliers, and negotiates terms.
- Approver: Reviews and approves PRs and POs according to delegation of authority.
- Receiving: Performs goods receipt and records discrepancies.
- Accounts Payable: Performs invoice verification, resolves discrepancies, and posts supplier invoices.

4. High-Level P2P Process

- Step 1 – Requirement Identification
 - Business user identifies need for materials or services and checks existing contracts or catalog content where available.[web:1]
- Step 2 – Purchase Requisition
 - Requester creates PR with material/service details, quantity, delivery date, account assignment, and preferred supplier (if known).
 - System can trigger workflow for approval based on value, account, or purchasing group.
- Step 3 – Source Determination and RFQ (if needed)
 - Buyer reviews PR, determines source of supply (info records, contracts, scheduling agreements, or source lists).
 - If no suitable source exists, buyer creates and sends RFQs to potential suppliers and compares quotations.
- Step 4 – Purchase Order Creation
 - Buyer converts approved PR or accepted quotation into a PO, ensuring correct pricing, tax, delivery terms, and account assignment.[web:1]
 - PO is sent to the supplier via email, EDI, or SAP Business Network depending on integration setup.
- Step 5 – Order Acknowledgment (Optional)
 - Supplier sends order confirmation; buyer or system records confirmations and adjusts dates/quantities if needed.
- Step 6 – Goods Receipt
 - Receiving records GR against the PO, verifying quantity and quality.
 - System updates stock, creates accounting postings, and updates open PO history.
- Step 7 – Invoice Verification
 - Supplier submits invoice referencing PO and/or GR.
 - Accounts Payable posts or parks invoice, resolving any price or quantity variances.
 - System updates GR/IR account and open items.[web:1]
- Step 8 – Payment
 - Finance executes payment run according to agreed payment terms.

5. Key Controls

- Mandatory reference to PR or contract for PO creation above defined thresholds.
- Approval workflows for PRs, POs, and invoices based on value and risk.

- Three-way match (PO–GR–Invoice) for material purchases where applicable.
- Periodic review of open PRs, open POs, and blocked invoices.

6. System References (SAP S/4HANA Cloud Public Edition)

- Self-Service Requisitioning and Professional PR apps for PR creation and processing.[web:1]
- Purchase Order apps for PO creation, change, and monitoring.[web:1]
- Goods receipt and confirmation apps for inbound deliveries and POs.[web:1]
- Supplier Invoice apps for invoice posting, monitoring, and release of blocked invoices.[web:1]